



Grade 11 Geography

3. Trade and Development

Learning Guide

1. What is Trade?

- **Trade** is the business of **exchanging, selling and distributing goods and services**.
- Trade can happen within one country or between different countries.

International Trade

- International trade is the exchange of:
 - **Raw materials**
 - **Goods**
- This exchange takes place between buyers and sellers **across the borders of countries or territories**.

Why International Trade Creates Competition

- Different companies may sell the same or similar products in the world market.
- They therefore compete for customers.
- This competition creates **competitive pricing**.
- Competition may drive prices **down for consumers**.

 **Key idea:** International trade connects countries and creates competition between producers.

2. Market and Commodities

Market

A **market** is any organisation or mechanism that brings **buyers and sellers together** to trade goods.

The term can refer to:

1. A place where **goods and services are bought and sold**.
2. The **demand for goods and services** in an area.

Commodities

- Commodities are **raw materials** used to produce goods that consumers buy.

Examples

- Crude oil
- Coffee
- Natural gas
- Gold
- Wheat

 **Key idea:** Commodities are usually raw materials rather than finished manufactured products.

3. Relationship Between Trade and Development

Trade can influence how wealthy or developed a country becomes.

Terms of Trade

- **Terms of trade** is the **ratio between the prices of exports and the prices of imports** in a country.
- A country's terms of trade can be used as an **indicator of its wealth**.

Challenge Faced by LEDCs

- LEDCs are often dependent on:
 - Exporting **raw materials** at relatively low prices.
 - Importing **processed goods** at higher prices.
- The prices of minerals and agricultural products can rise and fall.

- If the price of these exports falls, an LEDC may experience a **decrease in its terms of trade**.

📌 **Key idea:** Selling low-priced raw materials while buying expensive processed goods can disadvantage LEDCs.

📦 4. Exports and Imports

Exports

- Goods and services that are sold to **other countries**.

Imports

- Goods and services that are bought **from other countries**.

These two ideas are important when calculating a country's **balance of trade**.

⚖️ 5. Balance of Trade

- The **balance of trade** is the difference between:
 - The value of a country's exports.
 - The value of its imports.
- It is calculated over a particular period.

Formula

Balance of Trade = Value of Exports – Value of Imports

✅ Favourable Balance of Trade / Trade Surplus

- Occurs when:

Exports > Imports

- The country earns more from exports than it spends on imports.

❌ Adverse Balance of Trade / Trade Deficit

- Occurs when:

Imports > Exports

- The country spends more on imports than it earns from exports.

📌 Page 6 visual:

The balance-scale diagrams illustrate the difference between situations where **exports are greater than imports** and where **imports are greater than exports**.

💰 6. Balance of Payments

- The **balance of payments** is an accounting record or summary of **all trade transactions between a country and the rest of the world** over a certain period.

It includes:

- Goods.
- Services.
- Capital.
- Loans.
- Investments.

📌 Important difference:

Balance of Trade → focuses on exports and imports.

Balance of Payments → includes a much wider range of international transactions.

🇮🇹 7. Balance of Trade vs Balance of Payments

Balance of Trade

Balance of Payments

Difference between exports and imports Record of all international transactions

Focuses on goods/services traded

Includes goods, services and capital

Shows surplus or deficit

Includes loans and investments as well

📌 **Key idea:** Balance of payments is broader than balance of trade.

🛡️ 8. Trade Policy

- **Trade policy**, also called **commercial policy**, is a set of **rules and standards** that guide trade.
- Its purpose is to:

- Help trade run smoothly.
- Ensure trade benefits the country.
- Countries have their own trade policies.
- Groups of countries may also work together to create **mutually beneficial policies**.

9. Protectionism

- **Protectionism** is the policy of **restricting trade between countries**.
- It aims to create fair competition between:
 - Imported goods and services.
 - Locally produced goods and services.
- Protectionism works through **trade barriers**.

Trade Barriers

Trade barriers are regulations or policies that restrict international trade.

The three main forms:

1. **Tariffs**
2. **Quotas**
3. **Subsidies**

10. Tariffs

- **Tariffs** are **taxes placed on imported goods and services**.
- They increase the price of imported goods.
- This can reduce or control the amount of foreign goods entering the country.

Key idea:

Tariffs make imported products more expensive.

11. Quotas

- **Quotas** limit **how many goods can be imported** from another country.

Key idea:

Tariffs increase the price; quotas limit the quantity.

12. Subsidies

- **Subsidies** are benefits given by the government to:
 - Businesses.
 - Economic sectors.
- Their purpose is to help prevent the decline of an industry.

South African Example

- During apartheid, the government encouraged industries near the **“homelands”** by subsidising:
 - Salaries.
 - Municipal rates.
 - Water costs.
 - Electricity costs.

Ethiopian Example

- The government provides subsidies to coffee farmers.
- This helps farmers cover production costs while still selling coffee at a reduced price to compete with imported coffee beans.

Key idea:

Subsidies lower costs for local producers and help them compete.

13. Trade Barriers – Quick Comparison

Barrier	Meaning
Tariff	Tax on imported goods/services
Quota	Limit on the amount imported

Barrier	Meaning
Subsidy	Government support to local producers

14. Free Trade

- **Free trade** occurs when goods and services are traded freely between countries **without trade barriers or protective measures**.
- Barriers such as tariffs and quota restrictions are removed or reduced.
- Certain trade barriers were lifted during the **20th century**.
- This encouraged **economic integration**.
- Economic integration, in turn, supports **globalisation**.

 **Key idea:** Free trade reduces restrictions between countries.

15. Advantages of Free Trade

Economic Growth

- Increased market access and efficiency can boost economic growth.

Consumer Benefits

- Consumers gain access to:
 - More products.
 - Lower prices.

Innovation

- Competition encourages:
 - Technological advancement.
 - Innovation.

Resource Allocation

- Resources can be allocated more efficiently according to comparative advantage.

Foreign Investment

- Free trade can attract **foreign direct investment**.
- This can support local economies.

Political Relations

- Trade strengthens political and economic relationships between countries.

Specialisation

- Countries can specialise in producing goods where they have an advantage.

Economies of Scale

- Companies can produce on a larger scale.
- Larger production may lower costs.

16. Disadvantages of Free Trade

Job Losses

- Local industries may struggle to compete.
- This can cause job losses.

Exploitation Risks

- Workers in developing countries may experience:
 - Low wages.
 - Poor working conditions.

Economic Dependence

- Countries may become too dependent on foreign goods.

Environmental Impact

- Increased production and transportation may cause environmental degradation.

Market Volatility

- Exposure to global market changes may cause economic instability.

Loss of Sovereignty

- Countries may lose some control over their own economic policies.

Income Inequality

- Free trade may increase inequality within and between countries.

Cultural Erosion

- Greater foreign influence may affect local traditions and identities.



17. Fair Trade

- **Fair trade** is a form of trade that focuses on:
 - **Sustainability**
 - Promoting development in **LEDs**
- Supporters of fair trade favour paying **higher wages to producers**.
- Fair trade aims to:
 - Reduce exploitation.
 - Help end practices such as **child labour**.
 - Encourage **entrepreneurship**.



Key idea: Fair trade tries to make trade more beneficial to producers, especially in LEDs.



18. Protectionism vs Free Trade vs Fair Trade

Concept

Main Idea

Protectionism Restricts trade to protect local producers

Free trade Removes trade barriers

Fair trade Promotes sustainable and ethical trade, especially for LEDs



19. Final Exam Summary

- **Trade** is the exchange, sale and distribution of goods and services.
- **International trade** takes place across national borders.
- A **market** brings buyers and sellers together.
- **Commodities** are raw materials such as gold, oil, coffee and wheat.
- **Terms of trade** compares export prices with import prices.
- LEDs often export low-priced raw materials and import higher-priced processed goods.
- **Balance of trade:**

Exports – Imports

- **Trade surplus** → exports are greater than imports.
- **Trade deficit** → imports are greater than exports.
- **Balance of payments** includes all international transactions, including loans and investments.
- **Protectionism** restricts trade using barriers.
- Main trade barriers:
 - Tariffs.
 - Quotas.
 - Subsidies.
- **Free trade** removes barriers and encourages economic integration.
- Free trade can create:
 - Growth.
 - Lower prices.
 - Innovation.
 - Investment.
- But it can also cause:
 - Job losses.
 - Dependence.
 - Exploitation.
 - Environmental damage.
 - Inequality.
- **Fair trade** promotes sustainability and development in LEDs and aims to improve conditions for producers.



Core idea:

Trade can promote development, but its benefits depend on the terms of trade, trade policies, and how fairly countries and producers participate in the global economy.

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